

APEX TRUST BANK - MASTER KYC & AML COMPLIANCE DIRECTIVE

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1. Regulatory Framework & Governance

These guidelines are issued in compliance with Section 35A of the Banking Regulation Act, 1949 and the Reserve Bank of India (Know Your Customer) Directions, 2016. Every branch and digital channel must rigorously apply these standards to prevent money laundering and terrorist financing.

2. The KYC Verification Process (Customer Due Diligence)

Customer Due Diligence (CDD) is mandatory before opening any bank account, establishing business relationships, or sanctioning credit. The end-to-end KYC verification process comprises four critical phases:

Phase 1: Officially Valid Document (OVD) Collection:

The customer must submit proof of identity and address through any of the six prescribed OVDs: (i) Passport, (ii) Driving License, (iii) Proof of possession of Aadhaar number, (iv) Voter's Identity Card issued by Election Commission of India, (v) Job card issued by NREGA duly signed by a state government officer, or (vi) Letter issued by the National Population Register containing name and address.

Phase 2: Permanent Account Number (PAN) Verification:

Submission of PAN is mandatory under Rule 114B of Income Tax Rules. Real-time online validation of PAN with the NSDL/Income Tax database is executed. If PAN is unavailable, a duly attested Form 60 must be collected with proof of agricultural/non-taxable income.

Phase 3: Customer Identification Procedure (CIP) & Physical/Digital Match:

Verification of the customer's face, demographic particulars, and proof of current residence. Where the address in OVD differs from current residence, deemed OVDs (utility bills under 2 months, municipal tax receipt, pension payment orders) are permissible for 3 months pending address update.

Phase 4: Video Customer Identification Process (V-CIP):

For digital and remote account opening, bank officers conduct real-time live video calls. The process requires geo-tagging (confirming applicant is inside India), live face-match using AI matching engines against OVD photo with a confidence score above 90%, liveness testing, OTP verification, and capture of physical PAN card under clear lighting.

3. Risk Categorization & Periodic Updating (Re-KYC)

Customers are categorized into Low, Medium, and High Risk tiers based on parameter profiles such as customer type, nature of business, geographic origin, and turnover volume:

- **High-Risk Customers:** Full KYC refresh must be executed every **2 years**. Includes Politically Exposed Persons (PEPs), non-resident entities, bullion dealers, jewelers, trusts, and charities.
- **Medium-Risk Customers:** Periodic KYC updating must be completed every **8 years**. Includes small business proprietors, high-volume traders, and salaried professionals with secondary business income.
- **Low-Risk Customers:** Periodic KYC updating is mandated once every **10 years**. Includes salaried employees with established corporates, government employees, pensioners, and students.
- **Re-KYC Self-Declaration:** If there is no change in KYC status for low-risk customers, a self-declaration submitted via Internet Banking, Mobile App, or registered email is accepted as compliant without visiting the branch.

4. Central KYC Records Registry (CKYCR)

All customer KYC records are uploaded to CERSAI CKYCR within 3 days of account opening. A unique 14-digit KYC Identification Number (KIN) is generated and dispatched to the customer, enabling frictionless banking across any financial entity.